Northwind Technologies — Annual Report 2024

Letter to Shareholders

Fiscal year 2024 was a year of disciplined growth for Northwind Technologies. Total revenue reached $482.6 million, an increase of 27% over the $380.0 million reported in fiscal 2023. Growth was driven primarily by our cloud analytics division and expansion into European markets.

Operating income rose to $71.4 million, up from $52.1 million in the prior year, reflecting improved gross margins and operating leverage across the business.

Financial Highlights

Revenue: $482.6M (FY2024) vs $380.0M (FY2023), up 27%. Gross margin improved to 68% from 64%. Net income was $54.3 million, compared with $38.9 million a year earlier. Cash and equivalents stood at $210 million at year end, with no long-term debt.

The Board approved the company's first quarterly dividend of $0.12 per share, beginning in Q1 2025.

Business Segments

Cloud Analytics contributed $268 million in revenue (up 41%), Enterprise Software contributed $154 million (up 12%), and Professional Services contributed $60.6 million (up 8%). Cloud Analytics is now the largest segment and the primary engine of growth.

Risk Factors

Our business faces several risks. Supply chain disruption could affect hardware provisioning for our data centers. Currency fluctuation in European markets may impact reported revenue, as approximately 30% of sales are now denominated in euros. We also face increased competition in the cloud analytics segment from larger incumbents with greater resources.

Additionally, our growth depends on retaining key engineering talent in a competitive labor market, and on maintaining the security and reliability of our platform. A significant data breach or prolonged outage could harm our reputation and results.

Outlook for 2025

For fiscal 2025, management expects revenue between $580 million and $610 million, representing growth of approximately 20% to 26%. We plan to invest further in the Cloud Analytics platform, expand our presence in the Asia-Pacific region, and continue hiring across engineering and sales.

Sustainability

Northwind reduced its data-center energy intensity by 15% during 2024 and committed to sourcing 100% renewable energy for its operations by 2027.